UNITED STATES BANKRUPTCY COURT
MIDDLE DISTRICT OF LOUISIANA

In re: SAMPLE HOLDINGS, LLC Debtor. JANE SAMPLE, CHAPTER 7 TRUSTEE, Plaintiff, v. SAMPLE TRANSFEREE, LLC, and JOHN Q. SAMPLE, Defendant.	Case No. 26-10000 Chapter 7 Adversary Proceeding No. 26-01000

MOTION TO DISMISS ADVERSARY PROCEEDING UNDER RULE 12(B)(6), WITH INCORPORATED MEMORANDUM IN SUPPORT

NOTICE OF MOTION AND OPPORTUNITY FOR HEARING

PLEASE TAKE NOTICE that the motion titled "Motion to Dismiss Adversary Proceeding Under Rule 12(b)(6), with Incorporated Memorandum in Support" has been filed. The motion seeks dismissal of the Complaint in its entirety under Federal Rule of Civil Procedure 12(b)(6), made applicable by Federal Rule of Bankruptcy Procedure 7012(b).

A hearing on the motion is set for [hearing date] at [time], in [courtroom and address of the Bankruptcy Court, Baton Rouge].

Any party opposing the motion must file an objection or response no later than eight days before the scheduled hearing and must at the same time serve a copy of the objection or response on the mover or its counsel, and on all other parties entitled to notice of the objection.

Defendant Sample Transferee, LLC ("Transferee") moves under Federal Rule of Civil Procedure 12(b)(6), made applicable by Federal Rule of Bankruptcy Procedure 7012(b), to dismiss the Adversary Complaint filed by Plaintiff Jane Sample, Chapter 7 trustee (the "Trustee"), for failure to state a claim upon which relief can be granted. The memorandum in support is incorporated below.

RELIEF REQUESTED

Transferee asks the Court to dismiss the First and Second Claims for Relief, which seek to avoid transfers under 11 U.S.C. §§ 548(a)(1)(B) and 544(b), and the Third Claim for Relief, which seeks recovery under 11 U.S.C. § 550 that depends on avoidance. Transferee does not ask the Court to decide any question of fact.

MEMORANDUM IN SUPPORT

INTRODUCTION

The Complaint asks the Court to unwind a single conveyance of commercial real estate made more than two months before the petition date, on the theory that the conveyance was constructively fraudulent. The Complaint pleads the conveyance, the price, and a conclusion that the Debtor was insolvent. It does not plead facts that make insolvency plausible. Under *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 555 (2007), and *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009), a complaint must plead facts, not labels, that make each element plausible. The first two claims fail for that reason, and the third falls with them.

BACKGROUND

The Complaint alleges that the Debtor, Sample Holdings, LLC, held a commercial building on Example Avenue in Baton Rouge (the "Property"). Compl. ¶ 12. It alleges that the Debtor conveyed the Property to Transferee on March 3, 2026, for stated consideration of $10, and that the deed was recorded on March 5, 2026. Compl. ¶¶ 14-15. It alleges a separate cash payment of $142,500 to the managing member, Defendant John Q. Sample, on March 10, 2026. Compl. ¶ 16.

The Complaint alleges that the Debtor's rental income declined between 2023 and 2025 and that the Debtor fell behind on its obligations to its secured lender and trade creditors. Compl. ¶ 13. It does not allege the amount of the Debtor's debts, the amount of its unsecured claims, the value of its assets other than the Property, or the Debtor's cash position on either transfer date. It alleges that the Debtor was "insolvent or became insolvent as a result of" the Property transfer. Compl. ¶ 18.

The petition commenced this case on May 22, 2026. Compl. ¶ 17.

ARGUMENT

A. The Complaint Does Not Plausibly Plead Insolvency

Section 548(a)(1)(B) permits avoidance of a transfer made within two years before the petition date only if the debtor received less than reasonably equivalent value and the debtor was insolvent on the date of the transfer, became insolvent as a result of it, was left with unreasonably small capital, or intended or believed it would incur debts beyond its ability to pay. 11 U.S.C. § 548(a)(1)(B)(ii). The Trustee relies on insolvency. Compl. ¶¶ 18, 31.

"Insolvent" means, for a debtor other than a partnership or municipality, a financial condition in which the sum of the entity's debts is greater than all of its property, at a fair valuation. 11 U.S.C. § 101(32)(A). The statute measures a balance sheet at a point in time. A complaint that pleads insolvency must therefore plead facts about the debts and the property, not only the consequence.

The Complaint pleads one asset, the Property, and does not allege its value at any time other than the transfer date. Compl. ¶ 15. It does not allege the debts that the Debtor owed on that date. It alleges only that the Debtor's rental income declined and that the Debtor was late on some obligations. Compl. ¶ 13. A late payment does not show that the sum of the Debtor's debts exceeded its property, and the Complaint pleads nothing else on that point. The allegation that the Debtor was insolvent is a legal conclusion, and the Court need not accept it. *Iqbal*, 556 U.S. at 678.

The Trustee may respond that the allegation that the Debtor was "generally not paying its debts as they came due" supports insolvency. Compl. ¶ 18. It does not. That is a different test with its own elements, and the Complaint pleads no specific debt that went unpaid, its due date, or its amount.

B. The Complaint Does Not Plead That the Debtor Received Less Than Reasonably Equivalent Value for the Cash Transfer

The Cash Transfer is alleged to be a payment of $142,500 to Mr. Sample that was "not payment of any debt then due to him." Compl. ¶ 16. The Complaint does not allege what the Debtor received in exchange, whether the payment was for services, a loan repayment, a distribution, or something else, or what the Debtor's other obligations to Mr. Sample were on March 10, 2026.

The Complaint's own allegations also leave the value question open. The Complaint alleges that Mr. Sample was the managing member, and that a managing member's compensation or reimbursement is a common reason for a payment from an operating company. The Complaint does not allege that the payment was not one of those things. A transfer is not avoidable under § 548(a)(1)(B) merely because a debtor later failed; the Complaint must plead facts showing the absence of reasonably equivalent value. *Twombly*, 550 U.S. at 555.

C. The Complaint's Badges of Fraud Do Not Save the Constructive Fraud Claim

The Complaint lists "badges of fraud," including that the Transfers were made to insiders, after a notice of default, and without a written agreement. Compl. ¶¶ 21-25. Those allegations go to actual intent to hinder, delay, or defraud creditors, which § 548(a)(1)(A) requires and which the Trustee has not pleaded. The Complaint pleads no claim under § 548(a)(1)(A) and cannot use intent facts to supply the missing elements of § 548(a)(1)(B).

Transferee recognizes that an insider transfer is relevant to the reasonable-value and insolvency analysis. But the relevance of an insider relationship does not substitute for the required facts about the Debtor's balance sheet. Where the Complaint pleads no facts on that point, the insider allegation adds nothing.

D. The Third Claim Fails with the First and Second

The Third Claim seeks recovery under 11 U.S.C. § 550(a) of property transferred in the avoidable transfers. Compl. ¶¶ 37-39. Section 550 is a remedy that depends on an avoidable transfer. Without a viable avoidance claim under §§ 548 or 544(b), there is nothing to recover. The Third Claim should be dismissed with the first two.

The request for disallowance under 11 U.S.C. § 502(d) falls with the recovery claim, because § 502(d) applies only to a transferee that is liable for an avoidable transfer under § 550. Compl. ¶ 39.

E. Dismissal Should Be Without Leave to Amend Unless the Trustee Can Plead the Missing Facts

The Trustee has the Debtor's books and the transfer documents. The Complaint's omissions are facts the Trustee should already know. Transferee asks that dismissal be with prejudice to re-

pleading on the current facts. If the Court grants leave, Transferee asks that any amended complaint plead the Debtor's assets and debts on each transfer date with the specificity that Rule 8 requires for each element.

CONCLUSION

For these reasons, Transferee respectfully asks the Court to grant this motion, dismiss the Complaint as to Transferee, and grant the further relief the Court finds just.

Dated: [date]

Respectfully submitted,

/s/ [COUNSEL NAME] (La. Bar No. [number])
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